the president, with the help of Congress, changes the number of brackets and adjusts the range of incomes in each bracket in order to win friends and influence people. As of this writing, there are six brackets and therefore six rates: 10%, 15%, 25%, 28%, 33%, and 35%. But figuring out the tax you owe involves more than finding out which rate corresponds to your income.

TAXES AND INHERITANCE

When Jacob's uncle Al died, he received $13,000 in cash from his estate, which he put in his bank savings account in January. He was thrilled by this windfall, but he worried about whether or not he would owe tax on the money. Here's how it generally works: You do not owe income tax on money you receive as an inheritance. Instead, the executor—the person in charge of sorting through a will and distributing the money to beneficiaries—is responsible for making sure the applicable inheritance taxes are paid. But if you put that money in a bank account, you will have to pay tax on the interest. So Jacob had to pay tax on the $520 that his uncle's money earned him in interest.

Take a look at the tables in Figure 9–1. If you're single and have a taxable income of $8,000 (maybe you're a part-time student), that would put you in the 10% tax bracket. Simple. But say your income was $32,000. Here's where it gets complicated. Not all your income will fall into the same bracket. The first $8,350 will be taxed at the 10% rate, but the remaining $23,650 will be taxed at the 15% rate. In this example, 15% is known as your **marginal tax rate,** the rate at which the "last dollar you earn" gets taxed. The marginal rate is the highest rate at which any of your money is taxed. Knowing your marginal rate will help you evaluate the merits of making certain investments.

Depending on where you live, you may have to pay state and local income taxes too. On average, you can expect your state and local tax to be roughly 5% to 10%. (Some states charge no state income tax at all, however, and others impose a tax only on certain types of income like interest and dividends.) Add about 5% to your federal marginal rate to get a